

I would like to recommend that you practice with an actual Microsoft Excel sheet if there is even an iota of doubt in your mind about the results or the way it is calculated.

I repeat, do not move ahead if you have not understood this. Go through the chapter once again if you have any doubts or log on to the website or send us an email. We will explain it to you until you are comfortable.

You have now seen some fundamental rate of return calculations and you also know which one to apply under what circumstances. These calculations take care of the time of investment, amount of investment and the period of investment. But unfortunately, none of these calculations take into account, one of the biggest factors eating into your returns, namely "inflation". We need to know what the net rate of return is after adjusting for inflation to see and understand whether your investments are actually growing or not.

We will deal with inflation in more depth in the next few sections of the book, but at this stage it is important to understand what inflation is, how it impacts our returns and how we can measure or calculate the same. The next section on Cost Inflation Index (CII) essentially deals with the impact of inflation on your returns.

Technical Concepts in Financial Independence	
Evolution of Money	Cost Inflation Index
Absolute Returns	Taxes
Annualized Simple Interest Returns	Present and Future Value of Money
Compounded Annual Growth Rate (CAGR)	Rupee Cost Averaging
Internal Rate of Return (IRR)	Portfolio Asset Allocation

Cost Inflation Index

We have understood by now that the value of money decreases over a period of time due to the effect of inflation. Thus, an amount of some years back cannot be compared directly with an amount of today or with an amount in the future.